

Throwbacks and pullbacks. Downward breakouts show a return to the breakout price a bit more frequently than do patterns with upward breakouts. When a throwback or pullback occurs, it takes about 12 days, on average, to complete the return to the breakout price.

Table 13.4 Breakout and Post Breakout Statistics

Description	Up Breakout	Down Breakout
Breakout direction	72% up	28% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 44%, M 34%, H 42%	L -15%, M -11%, H -13%
Throwbacks/pullbacks occurrence	62%	64%
Average time to throwback/pullback peaks	4% in 6 days	-5% in 5 days
Average time to throwback/pullback ends	12 days	12 days
Average rise/decline for patterns with throwbacks/pullbacks	39%	-12%
Average rise/decline for patterns without throwbacks/pullbacks	39%	-15%
Percentage price resumes trend	77%	54%
Performance with breakout day gap	34%	16%
Performance without breakout day gap	41%	12%
Average gap size	\$0.53	\$1.16

In other chart pattern types, we see performance suffer when a throwback or pullback happens. I think it's because the curl robs momentum and traders become too shy to trade it after the throwback or pullback completes. For descending wedges, we see downward breakouts exhibit this performance improvement but not upward breakouts.

After a throwback completes, the stock returns to trending upward 77% of the time. Downward breakouts show price resuming their decline 54% of the time. That's about random.